SIL PROCUREMENT, SUPPLY CHAIN & INVENTORY

Procurement officers and managers

For procurement officers and managers

User manual · 28 October 2026

Figures, limits and approval chains are the system defaults; your hospital may have changed them.

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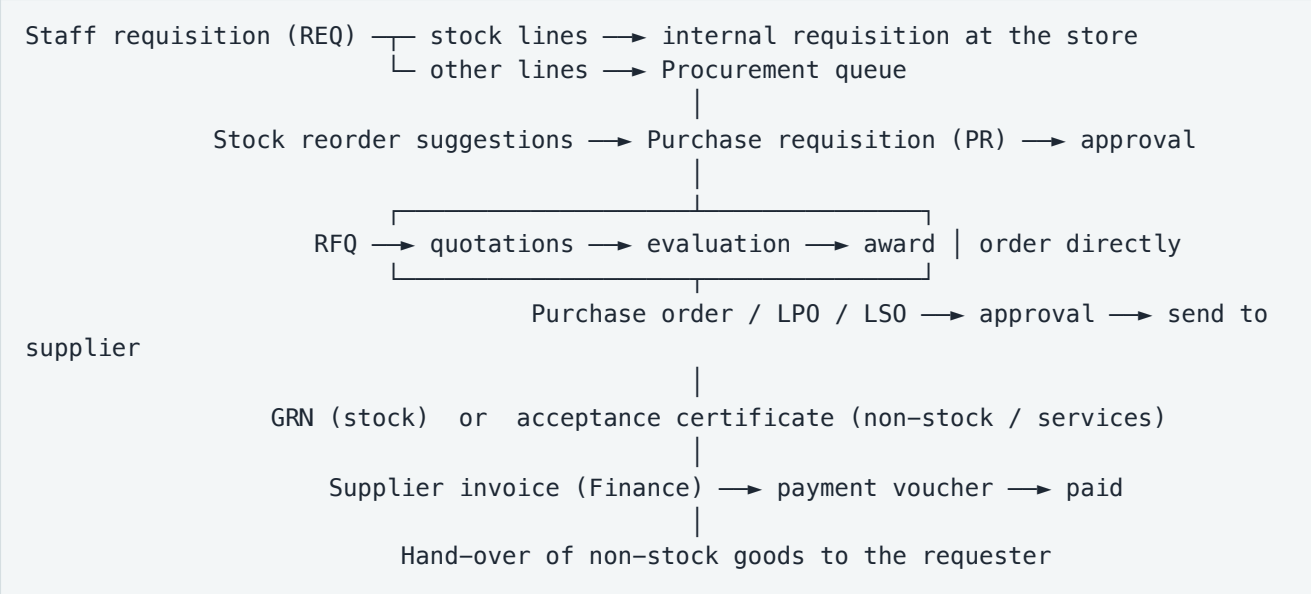
Procurement officers and managers

For the **Procurement Officer** (buys: purchase requisitions, RFQs, orders, suppliers) and the **Procurement Manager** (approves purchase requisitions and orders, manages tenders and contracts). Read Getting started first.

Your menu: *Procurement* (Requisitions, RFQs, My requisitions, Procurement queue, Purchase orders, Goods received, Invoices, Suppliers, Budgets, Supplier returns), *Sourcing & contracts* (plans, tenders, contracts, supplier performance, KEMSA / MEDS orders, KPIs), *Logistics* (Inbound shipments, Service certificates), *Reports*.

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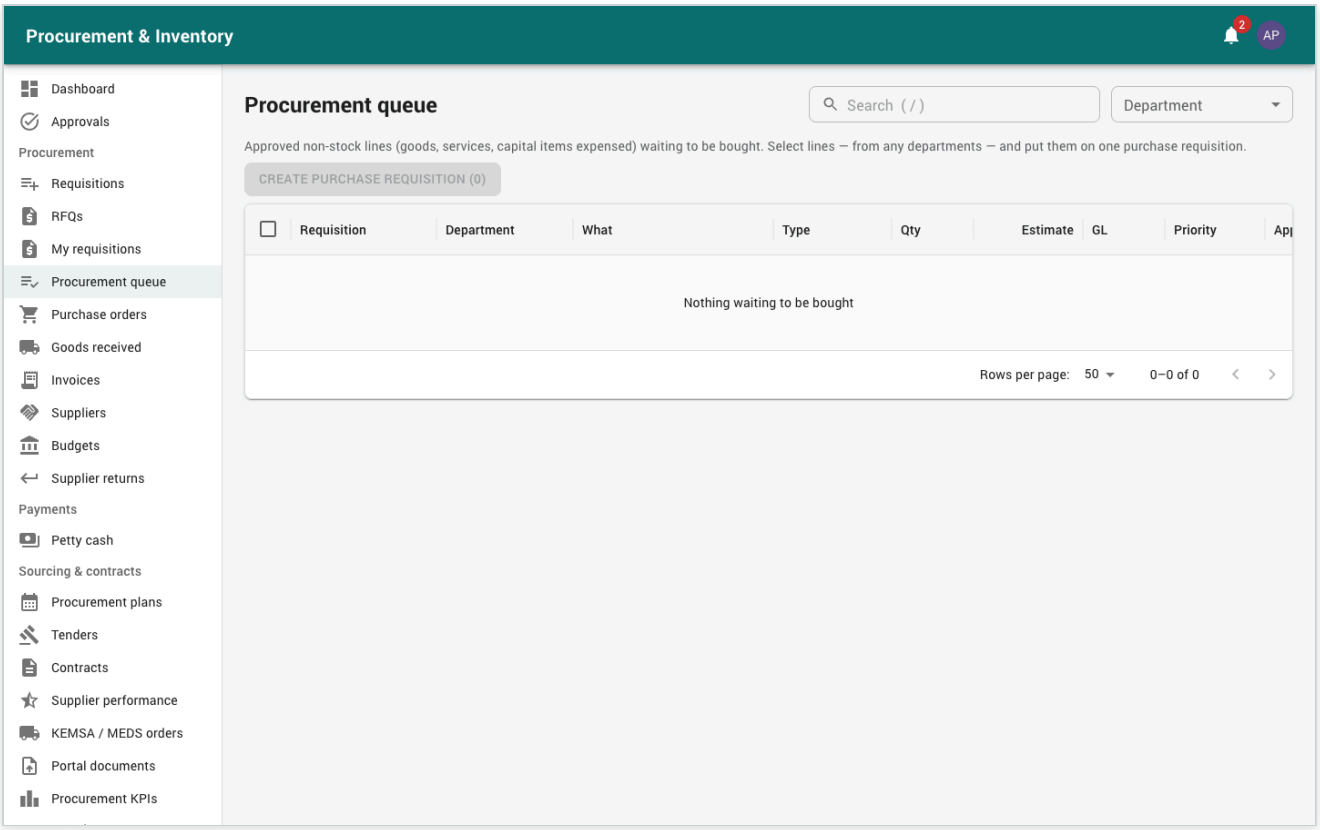
1. The buying cycle



Every document is linked; the **document chain** on each page shows the whole path.

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2. Procurement queue → purchase requisition



The procurement queue: approved non-stock lines from every department

Procurement → Procurement queue lists **approved non-stock lines** (goods, services, capital items expensed) from every department's staff requisitions.

1. Tick lines, from one or several departments, that you will buy together.
2. *Create purchase requisition (n)*. Fill in:
    - **Owning department** and **Delivery location**;
    - **Procurement method** (Direct, RFQ, tender…). *Recommended by value* shows the method the value calls for; choosing another needs a *Method justification*;
    - **Suggested suppliers** and a justification.
3. The purchase requisition (PR) is created as a **draft**. Open it under *Procurement → Requisitions* and *Submit for approval*.

If the PR is rejected or cancelled, its lines go back to the queue.

Stock items reach you differently: from *Planning → Suggested reorder* or *Demand forecasting* (selected suggestions become a draft PR), or a PR raised directly under *Requisitions → New* (items in base units, justification, priority, required-by date, budget).

PR approval (default)

Value	Approvers
< 100,000	Procurement manager
100,000 – 1,000,000	Procurement manager → Supply chain manager
≥ 1,000,000	+ Hospital management

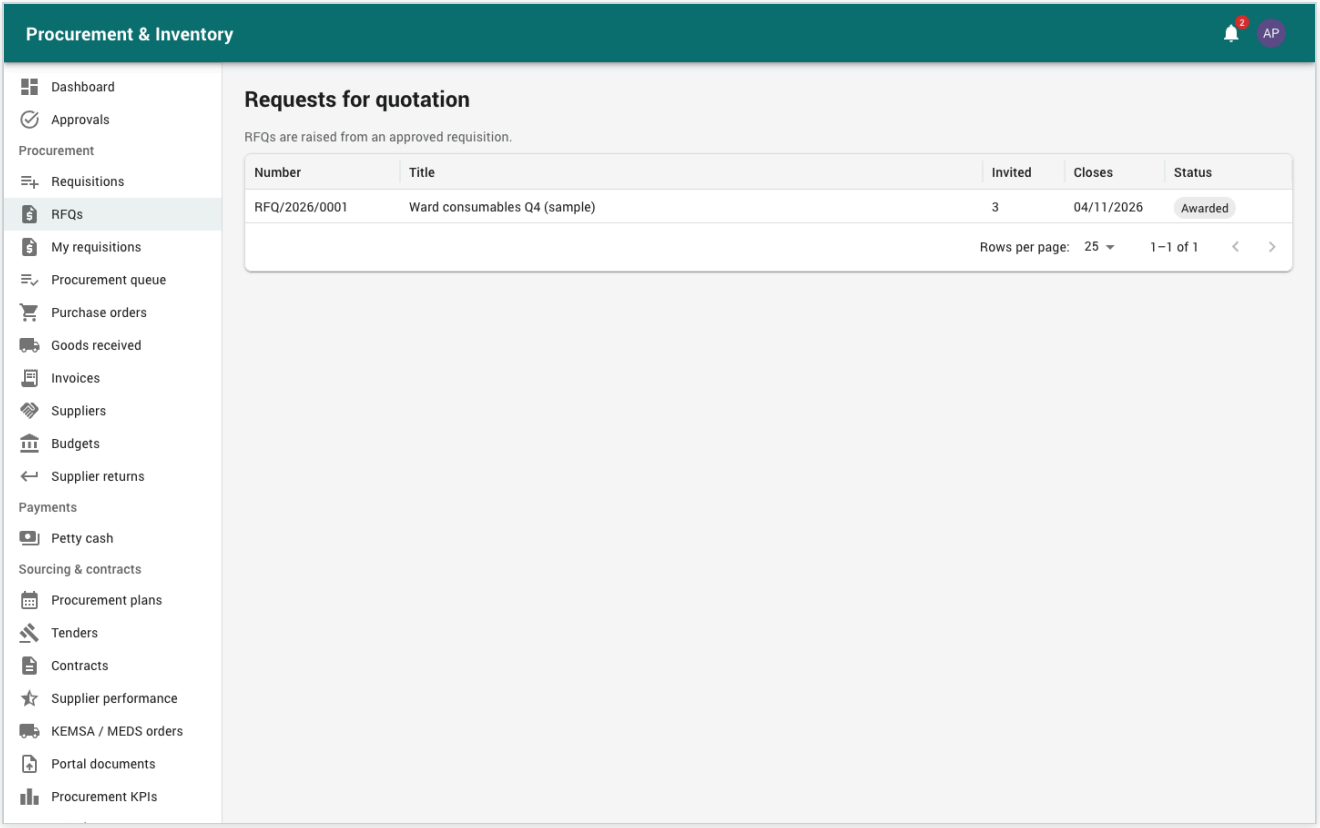
Value	Approvers
Contains controlled-drug items	Pharmacist → Procurement manager

The sourcing method is checked on submission against the value bands: low value < 50,000; RFQ 50,000–1,000,000 with 3 bidders; open tender ≥ 1,000,000; restricted tender, RFP and direct procurement need a justification.

PR statuses: Draft → Pending approval → Approved → **RFQ issued** → **Partially fulfilled** → **LPO raised** / Closed. Cancelling or expiring an order gives its quantities back to the PR.

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3. Requests for quotation (*Procurement → RFQs*)



Requests for quotation

Raising and sending

1. From an **approved PR**: *Request quotations* → title, closing date and *Invite suppliers*. Only **active** suppliers with valid prequalification can be invited.
2. *Send invitations*. Each supplier gets an email with the RFQ PDF; suppliers on the portal also see it there.
    - At least **3 suppliers** must be invited. With fewer, you must give a justification, otherwise it is refused (`MIN_SUPPLIERS`).

Quotations

Record a quotation for each supplier (or the supplier submits it in the portal):

- unit price per line, in any currency with an exchange rate (blank = KES);
- delivery days, payment terms, compliant or not (*Why not compliant*).

The **Comparative analysis** converts every price to KES at today's rate, ranks the compliant quotes and highlights the lowest. When the closing date has passed, *Close bidding*.

Evaluation (for quality-and-cost selection)

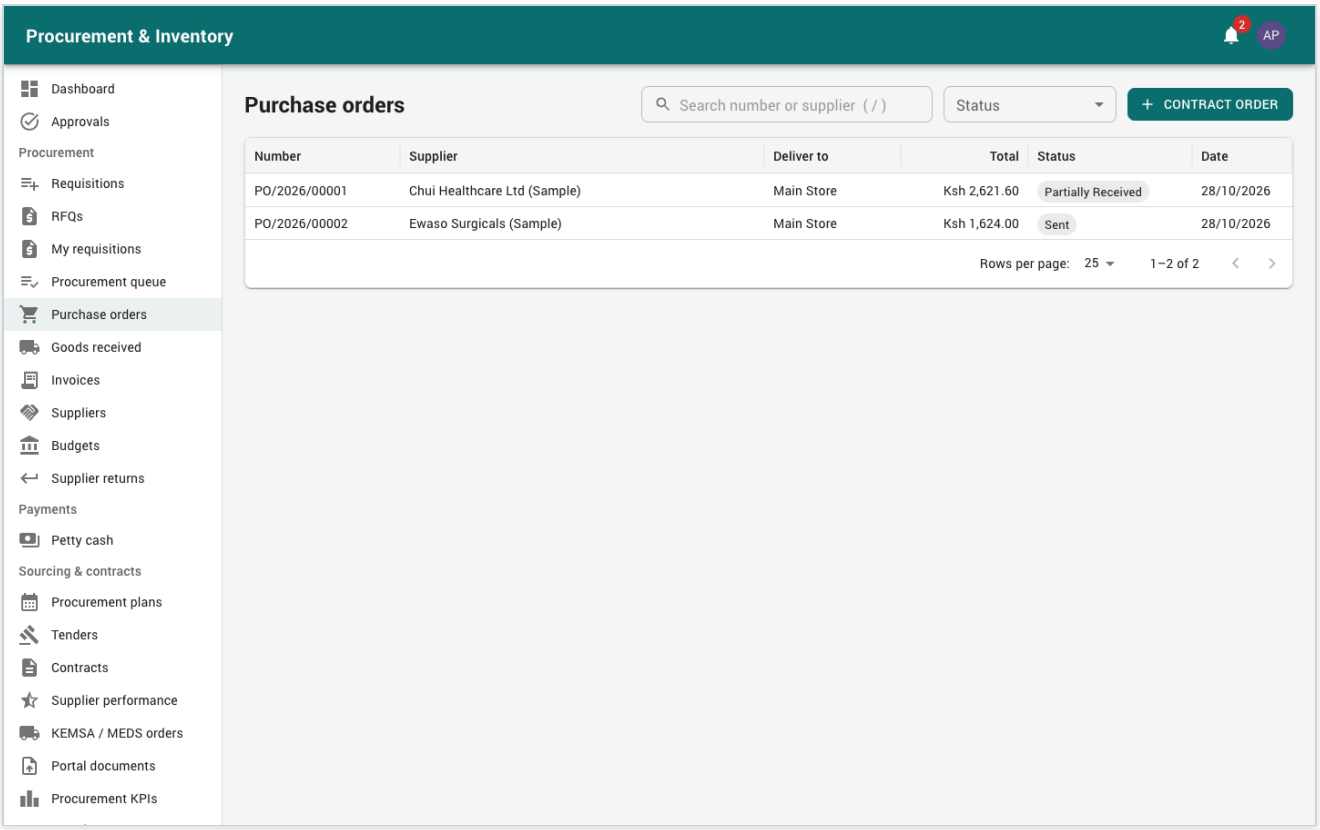
1. *Evaluation set-up* (before scoring): **technical weight** (0–100 %), **technical pass mark** (default 70) and the **evaluation committee**. A weight of 0 means price only; no evaluation is needed.
2. Each committee member opens the RFQ and enters *Your technical scores* (0–100 with a comment) for every compliant quotation.
3. When all scores are in: *Complete the evaluation*, with the committee recommendation.
    - Financial score = lowest compliant total ÷ this total × 100.
    - Combined = technical × weight + financial × (100 − weight).
    - A quotation below the pass mark cannot be recommended.

Award

1. In the comparative sheet, the recommended (or lowest compliant) supplier is pre-selected for each line. Change a choice if needed.
2. Awarding a line to anyone other than the lowest compliant quote needs an **Award justification** (`JUSTIFICATION_REQUIRED`).
3. Set **Expected delivery** and, for non-stock, the **Delivery address / site**.
4. *Award and create orders*: one **draft order per supplier**, in the quotation's currency with the exchange rate fixed.

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4. Purchase orders, LPOs and LSOs (*Procurement → Purchase orders*)



Purchase orders

Orders are created from an RFQ award, from an approved PR (*Order directly (no RFQ)*), or with *Order from contract price list*. An order with only non-stock lines is a **Local Purchase Order (LPO)**. If every line is a service it is a **Local Service Order (LSO)**.

On the order:

- lines in an ordering unit (e.g. BOX of 100) converted to base units; VAT per line;
- non-stock lines: description, unit (JOB for services, PCS otherwise), GL account;
- **withholding tax** (default 5 % on services) on the pre-VAT amount, which you can override per line. The order shows the WHT and the **Net payable**;
- *Valid until*: order date + 60 days; *Terms*; *Deliver to*.

Approval (default)

Value (KES)	Approvers
< 500,000	Procurement manager
500,000 – 5,000,000	Procurement manager → Finance
≥ 5,000,000	+ Hospital management

Approval **commits the budget**. A BLOCK budget refuses approval when exceeded.

Sending

Send to supplier emails the order with its PDF (some hospitals send automatically on approval). Suppliers on the portal see it and acknowledge it there.

Changing an order

- *Amend* (with *Reason for the amendment*): creates a new **version** that needs re-approval on the new value. *Version history* keeps every version. A rejected amendment restores the previous version.
- *Cancel purchase order* (with reason): only if nothing has been received. The budget commitment is released and the quantities go back to the PR.
- *Close purchase order*: stop waiting for the rest; releases what is still committed.
- **Expiry**: approved or sent orders past *Valid until* with nothing received or invoiced expire overnight. The commitment is released, the quantities return to the PR, and you are notified.

Order statuses: Draft → Pending approval → Approved → Sent → Partially received → Received → **Invoiced** → **Paid**; also Cancelled, Closed, Expired.

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5. Receiving

- **Stock items** are received by Stores on a **GRN** (see Stores).
- **Non-stock goods and services** are recorded on an **acceptance certificate** (*Logistics → Service certificates → Record delivery / completed work*). A storekeeper or certifying officer records accepted and rejected quantities. **You can't record it for an order you raised or approved.** When the order was bought for staff requisitions, the requester or their in-charge must *Accept delivery* before it can be posted (`ACCEPTANCE_REQUIRED`).
- **Inbound shipments** (*Logistics → Inbound shipments*): track shipped and expected dates, carrier and tracking for important orders. Delays are flagged daily.

6. Hand-over to the requester

On the staff requisition page, *Delivery to the requester* shows each non-stock line as ordered / received / delivered / waiting.

1. *Hand over*: choose the receiver (the requester or an active colleague in their department), the quantities received and not yet handed over, the condition and notes.
2. The receiver confirms in the app (*I have received these*), or at your counter: *Send code to the receiver* and type the 6-digit code they give you (15 minutes, 5 attempts).
3. When everything is delivered the requisition closes automatically.

You can only hand over what has been received (`NOT_RECEIVED`).

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7. Suppliers (*Procurement → Suppliers*)

- Register: name, **KRA PIN** (validated, e.g. `P051234567X`), contacts, categories supplied, **prequalification** status and expiry, payment details (the bank account is stored encrypted and shown masked).
- Attach licences and certificates with their expiry dates. *Reports & documents → Documents → Expiring supplier documents* lists those expiring soon.

- Status: active / suspended / blacklisted (with reason). Suspension, blacklisting and reinstatement go through approval (supply chain → management). Only **active, prequalified** suppliers can be invited or ordered from.
- **Performance** (*Sourcing & contracts → Supplier performance*): on-time delivery, quality rejects, price variance, and monthly scorecards. A score below 60 opens a corrective action.
- Suppliers with portal users quote, bid, acknowledge orders and submit invoices online (see Supplier portal).

8. Budgets (*Procurement → Budgets*)

Per department × vote head × financial year. A PO approval **commits**; an approved invoice turns the commitment into **actual**; cancelling or closing **releases** it. Each budget is WARN (warning shown) or BLOCK (refused when exceeded). Report: *Budget vs committed vs actual vs paid*.

9. Tenders, contracts and plans (Procurement manager)

- **Annual procurement plans** (*Sourcing & contracts → Procurement plans*): departments prepare them; you **consolidate** the approved plans into the hospital plan, by item and vote head.
- **Tenders**: notice → bid documents → clarifications and addenda → sealed bids (portal or bid register; no prices are visible before opening) → **opening** with attendees and minutes → **evaluation committee** (one chair; each member signs a conflict-of-interest declaration; preliminary, technical and financial evaluation) → recommendation → professional opinion → award approval (supply chain → management) → award and regret letters → contract. Scores are locked once the evaluation is locked.
- **Contracts and framework agreements**: prices, quantities, validity, performance securities and milestones. **Call-off orders** become draft POs at contract prices within the remaining balance. **Variations** apply after approval (procurement → finance). Alerts at 90 / 30 days before expiry.
- **KEMSA / MEDS orders**: order templates per store and cycle raise draft POs when due.

10. Approving (Procurement manager)

Approvals → My inbox: purchase requisitions and orders in your band. Check value, supplier, budget line and justification (and, for awards, the comparative sheet and the award justification). You can't approve a document you raised.

11. Reports you'll use

On *Reports*: Pending requisitions · Pending purchase requests · Open orders / LPOs · Outstanding POs · RFQ status and awards · GRN / acceptance registers · Received not invoiced · Three-way match exceptions · Purchases over time · Supplier performance · Price history · Procurement cycle time · Budget vs actual · Delivered to users vs outstanding · Procurement KPIs. Each one can be exported (CSV / Excel / PDF) or *emailed on a schedule*.

12. Common messages

Message	Meaning
`MIN_SUPPLIERS`	Fewer than 3 suppliers invited without a justification
`JUSTIFICATION_REQUIRED`	Award past the lowest compliant quote without a justification
Complete the technical evaluation before awarding	The RFQ has a technical weight and isn't evaluated yet
Supplier not eligible	Supplier suspended, blacklisted or prequalification expired
Budget exceeded	BLOCK budget: ask Finance to raise it, or reduce the order
`ACCEPTANCE_REQUIRED`	The requester must accept the delivery first
`NOT_RECEIVED`	Hand-over of more than has been received
`NON_STOCK_LINE`	A GRN can't receive non-stock lines; use an acceptance certificate